BUSINESS GUIDE

Cloud ERP for Farmers, Growers and Food Distributors

ORACLE NETSUITE | Myers-Holum

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Cloud ERP for Farmers, Growers and Food Distributors

Often overwhelmed by the number of disparate systems and spreadsheets that they rely on to manage their business, farmers, growers and food distributors need a unified cloud ERP that was built with them in mind.

Food distributors are critical links in the world's food supply chains. They buy in bulk from farms, break the goods down into smaller quantities, package them and sell them to retail outlets, grocers, restaurants and other foodservice companies. Acting as intermediaries between food producers and food operators, these distributors turn large volumes of products into smaller, saleable quantities.

With annual revenues ranging from $100,000 to over $500,000 million, food farmers and wholesalers operate in an industry that's become highly complex where both mom-and-pop shops and large conglomerates rely on technology to run their businesses. Most of these rely on applications that include old AS/400 systems, Microsoft Great Plains for sales management or homegrown solutions. Sharing data across these systems has them turning to Excel spreadsheets, email and manual work.

This business guide explores the growth of the food distribution industry, explains how aging software systems are keeping distributors up at night and demonstrates how a unified cloud Enterprise Resource Planning (ERP) platform paired with industry-specific capabilities can help companies work through these issues while also improving their efficiency and productivity.

Spotty Financials Impact Shareholder Value

In the U.S., there are 2.02 million farms that encompass nearly 900 million acres of land, with the average farm size being 444 acres. The sector has gone through some major transformations over the last few decades, with innovations in animal and crop genetics, chemicals, equipment and technology all driving up output without the need for additional land or labor. According to the U.S. Department of Agriculture, total farm output nearly tripled between 1948 and 2017.

Supporting the farming sector are 34,000 U.S. wholesale food distributors, which include single-location companies, units of multi-location companies and larger conglomerates. Together, these entities post annual revenues of about $991 billion. The sector's growth is largely driven by the increase in global populations and the related demand for food. Distributors also deliver value to farmers that need help marketing their products and ensuring a steady stream of income for their operations. Since they sell perishable goods procured from farms, food wholesalers tend to operate within a single country or region.

The disconnected systems farmers and distributors rely on create problems as operations grow to include more crops, suppliers, products and/or customers.

For example, one system may be used to store formulas while another manages inventory and a third is used to track sales. The company will then dump the data from spreadsheet-based systems into an on-premises ERP solution in hopes of gaining a complete picture of its operations. This approach creates significant information gaps across the organization.

"Everything is all over the place, so the warehouse isn't connected to production, which isn't connected to sales," said Hamza Zia, Solutions Architect Manager at Myers-Holum, a NetSuite Global Alliance Partner. "This highly siloed approach creates massive inefficiencies for growers and distributors."

The companies that Myers-Holum has worked with also maintain an unwieldy chart of accounts (COA) and lengthy income statement reports. In the absence of a consolidated system for tracking farms, fields, estimated crop yields and other metrics, these reports only get longer and longer every year.

"For every new year or growing season, they just keep creating a longer COA," said Antonio Posella, ERP/NetSuite Delivery Manager and Team Lead at Myers-Holum, "and expanding their income statement reports. Companies also grapple with poor inventory control, a lack of cost controls, too much product waste, spotty financials and poor reporting."

Everything All in One Place

Knowing that food growers, processors and distributors face unique business management challenges, Myers-Holum developed its Grower Management Solution using custom records, scripts and fields within NetSuite. By combining the leading cloud ERP with industry-specific functionality, this NetSuite Partner helps companies manage the entire food production and distribution ecosystem.

A farmer that wants to see exactly what's growing on a specific block, for example, can use NetSuite's cloud ERP and Myers-Holum's Grower Management Solution to attain that level of traceability.

"We like to coin it as 'field to fork' capabilities within NetSuite," said Posella. "Growers can track their own greenhouse or field-level activity, but they can also get granular to the block level."

Grower Payables is a NetSuite customization that Myers-Holum tailored for a specific company and then expanded across other entities facing similar issues when managing their grower payments. It helps distributors pay farmers on a predetermined schedule, and also manages custom grower contract pricing and can track seasons and group grower expenses.

The other key customizations include:

- Custom Pricing Tool Cost: Allows manual input calculations based on contracts that then automatically carry forward on sales orders and purchase orders.
- Custom Substitutions: Order guides and rebates automatically apply pre-defined substitutions.
- Plan to Produce: Helps manage farms, plots and fields, with ongoing grower season estimate tracking (e.g. acreage used, input and output estimate tracking).

With an average implementation time of six to nine months depending on project complexity and client needs, Myers-Holum helps growers and food distributors organize their financials, automate their processes and vastly reduce the size of their COAs and income statement reports (among other reports). "When they run their financial statements," Posella said, "companies can look at their P&Ls by season, grower, farm or block."

The customizations also help companies procure goods from growers, process those items into smaller packages and distribute those packaged goods to retailers. For one of its customers, Myers-Holum developed a custom integration with a food manufacturing-focused production and warehouse management system (WMS). This made it easy for the distributor to track its inventory from the time it arrives at a facility, as it goes through processing/picking/packing/storage and as it's shipped out the door.

Myers-Holum also helps companies more effectively manage their order-to-cash cycle, production capacity and more. "When we get involved, a lot of these companies are trying to manage these activities using spreadsheets, which is both ineffective and inefficient," Posella said.

> "Once they start using NetSuite with our Grower Management Solution and they see the value in automating the whole work order, build and production process, there's always an 'aha' moment that happens. At that point, they know exactly why they invested in ERP: to be able to plan and produce and see everything all in one place."
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> **Antonio Posella, ERP/NetSuite Delivery Manager and Team Lead, Myers-Holum**

With AS/400 Becoming Untenable, It Was Time for a Change

As an example, one company that provides retailers with fresh and on-trend ingredients and spices was looking to upgrade its ERP system after entering into a partnership with a private equity firm in 2018. It has multiple production facilities and more than 200 grocery chains, club stores and distributors that sell its ingredients.

At the time, the company was using an AS/400 system that had been put in place in 1993. The system would frequently break down (both its hardware and software), forcing the company to seek out AS/400 experts for help and/or scour eBay for spare parts. It needed a more scalable solution.

The company's management team completed a 6-month ERP evaluation process before selecting NetSuite and Myers-Holum as its implementation partner. In Myers-Holum, the company saw demonstrated expertise and an understanding of how manufacturing works.

Today, the company has a dashboard that sales and customer service reps can use to quickly pull up orders based on data that's linked back to the WMS. They can readily see if a particular shipment was fulfilled and shipped and no longer have to tell customers that they'll call them back in 30 minutes with an answer. With NetSuite in place, the company is ready to tackle its busy harvest seasons using a unified enterprise platform.

Doing More With Less

To best manage growing seasons, develop strong distribution networks, minimize food waste and get their perishable products to consumers on time, food distributors need technology systems that help them do more with less. In the absence of a cloud ERP solution, many of these entities are buckling under the strain of ineffective and manual solutions.

Using NetSuite and Myers Holum's Grower Management Solution, the same companies are automating more aspects of their operations, simplifying their processes and gaining high levels of visibility into their multifaceted operations.

"Any company in the food industry that's not using a cloud-based ERP system is missing out on some major efficiency and productivity gains," said Posella. "They're overwhelmed by paperwork and trying to track their activities across Excel spreadsheets."

These companies are also operating in a tight labor market where younger employees like working with new technology platforms.

"It's time to switch from systems built in the '80s and '90s that break down every few days," said Posella, "and move to a leading cloud ERP that has built-in, industry-specific capabilities designed specifically for growers, farmers and distributors."

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